# Financial Due Diligence Memo

ATOMiK · State-Aware Compute Architecture · Pre-Seed · May 2026

Last updated: 2026-05-28

Purpose: founder-prepared financial diligence memo for Friday investor discussion, pending CFO/counsel review. This is not legal, tax, accounting, or securities advice.

## Bottom Line

The `$5M` target pre-seed is the Aggie-facing live ask and should be presented as a milestone-based proof round, not as a chip-production round.

`$5M` buys an 18-24 month path to convert hardware-backed primitive proof into measured workload proof, counsel-reviewed IP readiness, ASIC feasibility, and design-partner/licensing diligence. It does not fund tape-out.

The main diligence risk is not the ask amount. The main risk is making the round sound more mature than it is. ATOMiK should not present a valuation cap, signed revenue, customer traction, production-silicon budget, or downstream savings model unless the supporting work is complete. Founder-prepared revenue scenarios may be used only as planning ranges, not forecasts.

## Use Of Funds

| Category | Amount | Percent | Purpose |
|---|---:|---:|---|
| Engineering and demo hardening | $1.5M | 30.0% | Zynq hardening, measurement tooling, first technical capacity |
| Customer proof | $1.0M | 20.0% | Workload baselines, evaluation SOWs, measured artifacts |
| IP and legal | $750K | 15.0% | Patent conversion, prior-art review, diligence packet, entity/IP close work |
| ASIC feasibility | $750K | 15.0% | External mentor review, feasibility study, quote-backed path |

| Category | Amount | Percent | Purpose |
|---|---|---|---|
| | | | before tape-out |
| Finance, GTM, and ops | $600K | 12.0% | CFO support, investor reporting, design-partner outreach, operating readiness |
| Reserve | $400K | 8.0% | Runway buffer and unforeseen proof costs |
| Total | $5.0M | 100.0% | Proof, IP, feasibility, and partner-readiness path |

## Runway Arithmetic

| Scenario | Raise | Reserve | Spendable cash | Planning runway | Gross monthly budget | Ex-reserve monthly budget |
|---|---|---|---|---|---|---|
| Staged close | $3.0M | $250K | $2.75M | 18 months | ~$167K/mo | ~$153K/mo |
| Target | $5.0M | $400K | $4.60M | 24 months | ~$208K/mo | ~$192K/mo |
| Expanded | $7.5M | $600K | $6.90M | 24 months | ~$313K/mo | ~$288K/mo |

Expanded capacity means faster validation, hiring, and broader evaluation/ASIC work while preserving the no-tape-out boundary.

## Dilution Sensitivity

Illustrative SAFE cap math before option pool, prior instruments, side letters, or priced-round mechanics:

| Post-money cap | $3.0M staged | $5.0M target | $7.5M expanded |
|---|---|---|---|
| $20M | 15.0% | 25.0% | 37.5% |
| $25M | 12.0% | 20.0% | 30.0% |
| $30M | 10.0% | 16.7% | 25.0% |
| $40M | 7.5% | 12.5% | 18.8% |
| $50M | 6.0% | 10.0% | 15.0% |

This is sensitivity only, not a cap recommendation. Do not offer a cap in the room unless counsel/CFO has approved it.

## Founder-Prepared Revenue Scenario

This is a planning scenario for investor discussion, not a forecast. It exists so the room can see the business logic behind the `$5M` ask without pretending ATOMiK has signed revenue, committed pilots, or completed customer ROI proof.

| Window | Commercial motion | Planning revenue range | Required evidence gate |
|---|---|---:|---|
| 0-6 months | Qualified proof reviews and technical evaluations | $0-$150K | customer workload candidate, baseline, and success metric defined |
| 6-12 months | 2-3 paid evaluation or design-partner SOWs | $250K-$750K | signed SOWs, correctness-preserving test plan, measured readout artifact |
| 12-24 months | 1-2 licensing or design-partner conversions if proof holds | $1M-$3M potential contracted value | measured workload proof, IP diligence, and partner decision record |
| 24-36 months | 1-3 IP/license relationships if proof and economics hold | $3M-$8M annualized potential | counsel-reviewed IP packet, feasibility review, and customer evidence |

Planning assumptions:

- Proof review / technical evaluation work may price around $25K-$75K when scoped and paid.
- Design-partner validation may price around $100K-$250K when scoped and paid.
- The strategic licensing model is upfront licensing plus per-unit royalties, but only if measured workload proof and partner diligence support it.
- These figures should be described as planning ranges, not booked revenue, pipeline, customer traction, or guaranteed ROI.

Customer ROI language should stay conditional: if a workload shows reduced state movement while preserving correctness, ATOMiK can quantify the potential impact against that baseline. Battery, heat, cooling, water, footprint, and power-bill effects remain workload-specific evaluation targets until measured end to end.

## Financial Claims That Are Safe Friday

- "We are raising a `$5M` target pre-seed; staged close structure and final SAFE terms are counsel/CFO pending."

- “The target plan gives us roughly 18-24 months to produce measured workload proof, strengthen the IP packet, complete ASIC feasibility, and build a design-partner/licensing path.”
- “The round funds measured workload proof, IP/legal readiness, ASIC feasibility, demo reliability, and operations.”
- “The round does not fund tape-out.”
- “Reservation pricing is a qualification mechanism; material revenue requires scoped written work.”
- “Final SAFE terms, valuation cap, discount, pro-rata rights, and option pool mechanics require counsel/CFO review.”

## Financial Claims To Avoid

- Do not state a valuation cap unless approved.
- Do not imply benchmark seed-market data is ATOMiK’s valuation.
- Do not present planning revenue ranges as booked revenue, committed pipeline, or a forecast before signed customer agreements or SOWs.
- Do not imply public reservation prices are the full commercial model.
- Do not claim customer traction, LOIs, or revenue without signed evidence.
- Do not say pre-seed funds production silicon, tape-out, or volume manufacturing.
- Do not model battery, heat, cooling, water, footprint, or power-bill savings as financial ROI until workload-specific measurement exists.

## Friday Financing Answer

Short version:

We are raising a `$5M` target pre-seed. The plan gives us roughly 18-24 months to produce measured customer workload proof, strengthen the IP packet, complete ASIC feasibility, and build a design-partner/licensing path. It does not fund tape-out.

If asked for valuation:

We are planning to use a SAFE structure, but I do not want to improvise the cap or terms. The final SAFE structure, valuation cap, discount, pro-rata rights, option-pool mechanics, and closing details should be finalized with counsel/CFO.

If asked why `$5M`:

Aggie has already seen the `$5M` ask. The target is sized around the next evidence gates: measured workload proof, legal/IP readiness, external ASIC feasibility, and enough operating capacity to pursue qualified design-partner evaluations. It is larger than a minimal proof budget, but it still does not become a tape-out budget.

## Diligence Gaps Before A Serious Follow-Up

- Formal cap table after entity formation, stock issuance, any advisor grants, and prior obligations are verified.
- Counsel-approved SAFE structure and terms.

- Option-pool sizing and hiring plan.
- Vendor-backed IP/legal budget.
- ASIC mentor or advisor quote-backed feasibility budget.
- Monthly cash plan by hire/contractor/vendor.
- Paid-evaluation SOW template with pricing, deliverables, ownership, confidentiality, and success criteria.
- Customer pipeline status with source, stage, next action, owner, and expected proof gate.